

Axis Bank Ltd (AXISBANK)

Sector: Financials

ROE

15.8%

ROCE

2.5%

D/E

8.25x

OPM

34.7%

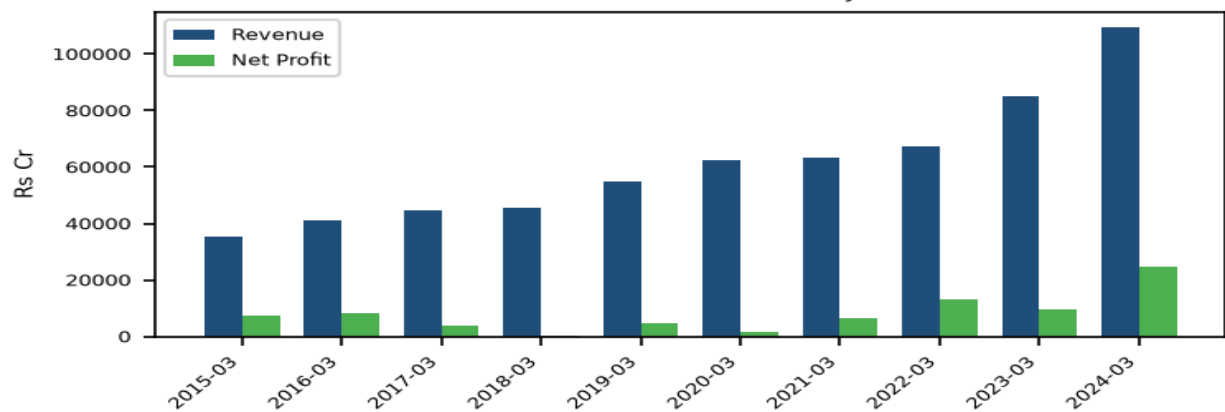
Revenue CAGR 5yr

14.7%

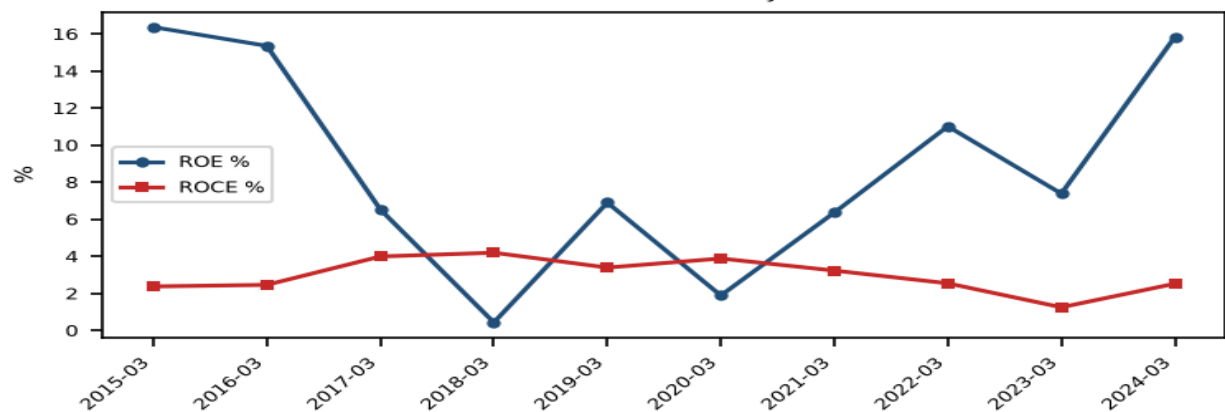
Free Cash Flow

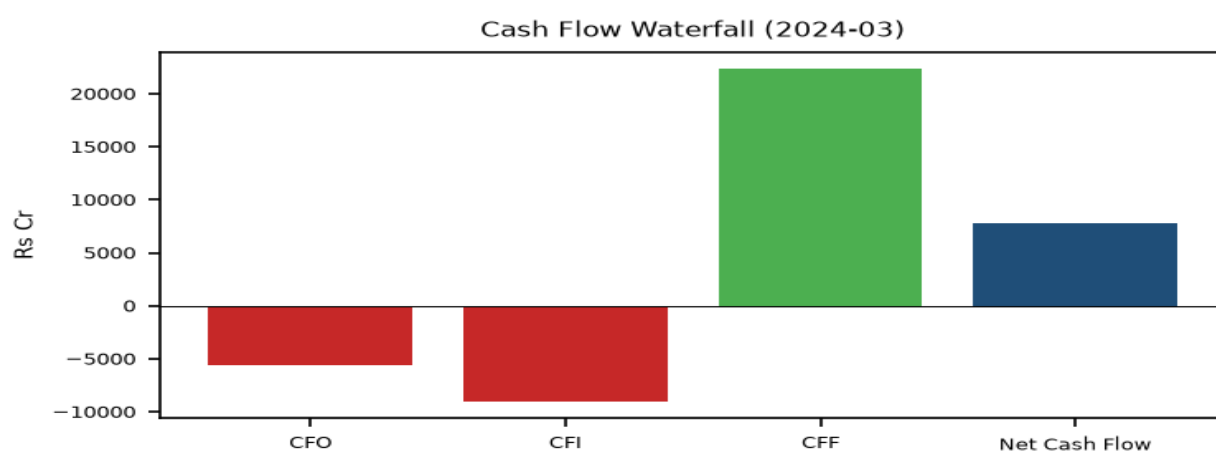
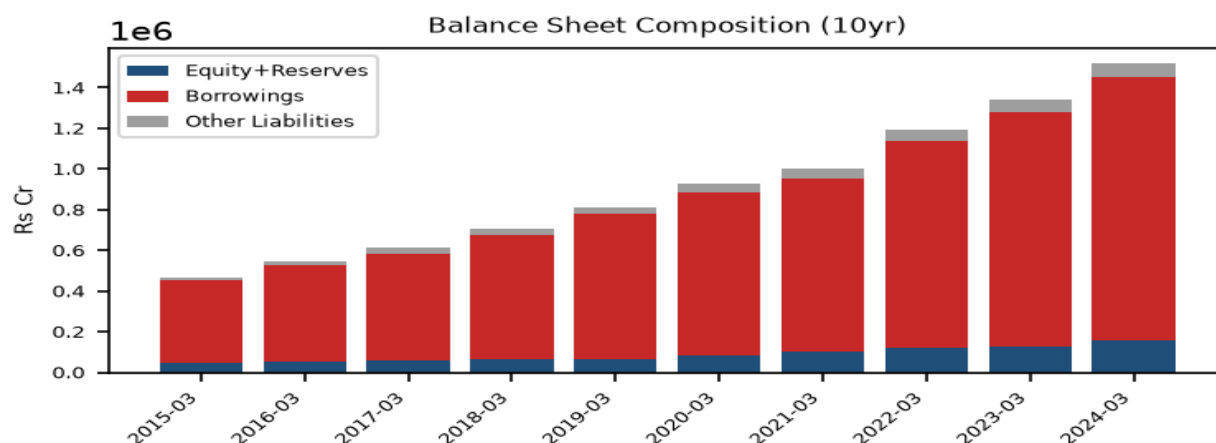
Rs -14,556 Cr

Revenue & Net Profit (10yr)



ROE vs ROCE (10yr)





Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation: Growth Funded by Debt